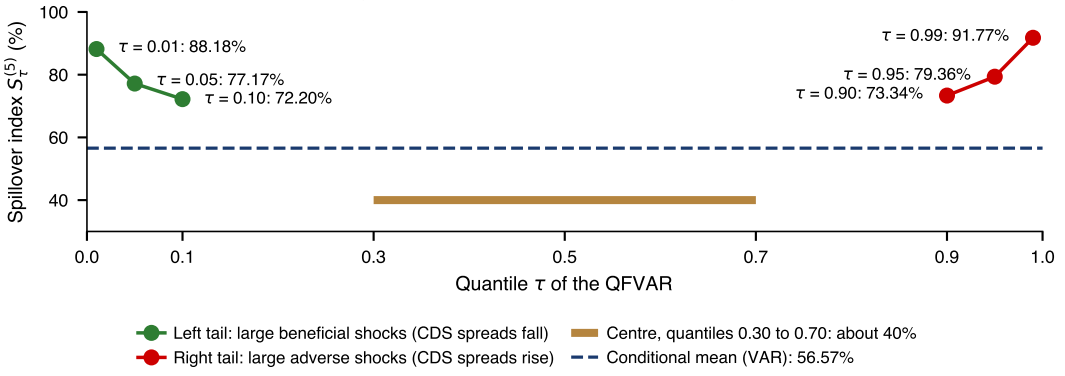
17 sovereigns and 17 financial sectors, daily CDS changes, 2006-2017
Spillover index $S_\tau^{(5)}$ (%)
100
80
60
40
τ = 0.01: 88.18%
τ = 0.05: 77.17%
τ = 0.10: 72.20%
τ = 0.99: 91.77%
τ = 0.95: 79.36%
τ = 0.90: 73.34%
0.0
0.1
0.3
0.5
0.7
0.9
1.0
Quantile τ of the QFVAR
Left tail: large beneficial shocks (CDS spreads fall)
Right tail: large adverse shocks (CDS spreads rise)
Centre, quantiles 0.30 to 0.70: about 40%
Conditional mean (VAR): 56.57%